Question #1 of 22

Question ID: 1675655

A member would *most likely* violate the Standard regarding duties to clients by:

A) adding a risky derivative security to the portfolio of a client with moderate risk tolerance.

B) recommending purchase of securities without a reasonable inquiry into the investment experience of the client.

C) executing a client order for a security that the member believes is greatly overvalued.

Question #2 of 22

Question ID: 1675660

An analyst meets with a new client. During the meeting, the analyst sees that the new client's portfolio is heavily invested in one over-the-counter stock. The analyst has been following the stock and thinks it will perform well in the long run. The analyst arranges through a brokerage firm to simultaneously sell a large number of shares of the stock via a series of cross trades from the new client's portfolio to various existing clients. He arranges the trades to be executed at a price that approximates the current market price. This action is:

A) a violation of Standard III(A): Loyalty, Prudence, and Care.

B) not in violation of the Standards.

C) a violation of Standard III(B): Fair Dealing.

Question #3 of 22

Question ID: 1675659

An investment advisor goes straight from a research seminar to a meeting with a prospective new client with whom she has never been in contact. The advisor is very excited about the information she just received in the seminar and begins showing the prospect the new ideas that her firm is coming up with. This is *most likely* a violation of:

A) Standard III(C): Suitability.

B) Standard III(B): Fair Dealing.

C) Standard III(B): Fair Dealing and Standard III(C): Suitability.

Question #4 of 22

Question ID: 1675656

In securing the shares for all accounts under her management, Linda Kammel of Northwest Futures purchased three blocks of shares at three different prices. She then allocated these shares by placing shares from the first block in accounts with surnames beginning with A–G. The second was allocated over accounts H–P, and the third over Q–Z. This action is:

A) consistent with her responsibilities under the Code and Standards.

B) permissible only if the clients are informed of the allocation procedure.

C) not permissible under the Code and Standards.

Question #5 of 22

Question ID: 1675654

While trading on behalf of a pension account, an analyst receives special research reports from the brokerage firm with whom she is doing the trades. Such an activity is:

A) a violation of only the Code of Ethics.

B) a violation of both Standard III(A): Loyalty, Prudence, and Care, and the Code of Ethics.

C) not in itself a violation of Standard III(A): Loyalty, Prudence, and Care, nor the Code of Ethics.

Question #6 of 22

Question ID: 1675661

Which of the following would be a violation of Standard III(B): Fair Dealing?

A) Trading for regular accounts before discretionary accounts.

B) Having well-defined guidelines for predissemination.

C) Limiting the number of employees privy to recommendations and changes.

Question #7 of 22

Question ID: 1675648

Tony Calaveccio, CFA, is the manager of the TrustCo small-cap venture fund in Toronto. He places trades for the fund with River City Brokerage (River City). River City provides Calaveccio with soft dollars to purchase research. River City also deals in municipal bonds, some of which Calaveccio holds in his personal portfolio. He periodically uses the soft dollars to request research reports on various small-cap stocks and on the status of the municipal bond market and issues that he holds. These actions are:

A) not in violation of the Code and Standards.

B) in violation of his fiduciary duties regarding the municipal bond research, but not so regarding the research on the small-cap issues.

C) in violation of his fiduciary duties regarding both the small-cap research and the municipal bond research.

Question #8 of 22

Question ID: 1675647

Which of the following is *least likely* required of fiduciaries who are responsible for pension plans?

A) Supporting the sponsor's management during proxy fights.

B) Acting solely in the interests of plan participants.

C) Judging investments in the context of the total portfolio.

Question #9 of 22

Question ID: 1675653

Tony Calaveccio, CFA, is the manager of the TrustCo small-cap venture fund in Toronto. Calaveccio places a trade with Quantco Brokerage. While Calaveccio's part of the transaction was conveyed correctly to Quantco, there was a trading error made in Calaveccio's account due to a slipup within Quantco. Calaveccio realizes that the error has taken place and informs his contact at Quantco. Calaveccio allows Quantco to cover the error, with no cost to TrustCo. This is:

A) a violation of Calaveccio's duty to his employer.

B) a violation of Calaveccio's fiduciary duties.

C) permissible under CFA Institute Standards.

Question #10 of 22

Question ID: 1675652

An independent analyst has only one client. One of the client's largest holdings is a brokerage firm. Because of the large holding by his client, the brokerage firm recently began allowing the analyst to tap into the firm's computer network to use the firm's research facilities. This is allowable as long as the analyst:

A) only discloses the relationship to the client.

B) uses the resources to help manage the client's account and discloses the relationship to the client.

C) only uses the resources to help manage the client's account.

Question #11 of 22

Question ID: 1675649

To comply with Standard III(A): Loyalty, Prudence, and Care, an analyst needs to:

A) comply with applicable fiduciary duty.

B) both comply with applicable fiduciary duty and liquidate his personal holdings of all stocks that his client owns.

C) liquidate his personal holdings of all stocks that his client owns.

Question #12 of 22

Question ID: 1675657

A money management firm has the following policy concerning new recommendations: When a new recommendation is made, each portfolio manager estimates the likely transaction size for each of their clients. Clients are notified of the new recommendation in the order of their estimated transaction size—largest first. All clients have signed a form where they acknowledge and consent to this allocation procedure. With respect to Standard III(B): Fair Dealing, this is:

A) not a violation because the clients have signed the consent form.

B) not a violation because the clients are aware of the policy.

C) a violation of the Standard.

Question #13 of 22

Question ID: 1675651

An analyst with his own money management firm trades on behalf of several large pension funds. The analyst now performs all trades through a particular brokerage firm because the brokerage provides his firm with a no-interest line of credit if paid within 60 days. The line of credit is available to all brokerage clients. The brokerage provides the analyst with personal account privileges that he would not otherwise be eligible for. The brokerage also provides the analyst with free research reports on many companies. Which of these benefits are violations of Standard III(A): Loyalty, Prudence, and Care?

A) Neither the personal account privileges nor the research reports.

B) The personal account privileges.

C) The research reports.

Question #14 of 22

Question ID: 1675658

Which of the following statements is *least accurate* regarding being a part of Standard III(B): Fair Dealing?

A) Shorten the time between decision and dissemination.

B) Maintain a list of clients and their holdings.

C) At the same time, notify clients for whom an investment is suitable of a new investment recommendation.

Question #15 of 22

Question ID: 1675650

Which of the following is a possible breach of fiduciary duties by a CFA Institute member who manages assets on behalf of a client?

A) Neither voting all proxies of stocks the client owns nor using directed brokerage.

B) Using directed brokerage.

C) Voting all proxies of stocks the client owns.

Joni Black, CFA, works for a portfolio management firm. Black is a partner of the firm and is primarily responsible for managing several large pension plans. She also is in a supervisory position with several research analysts reporting directly to her. Dave Wood is a research analyst who has worked under Black for the last six years. Wood recently completed the Level III CFA exam and is anxiously awaiting the results. As a display of confidence, Black shows Wood a box of business cards that have already been printed up for Wood with the initials "CFA" after his name. She locks them away in a file cabinet and promises to deliver them on the day they get the news of his passing the exam.

Black and Wood have been working closely to service numerous clients. Wood knows that Black recently met with a prospect named John Talbert. Black says that she received Talbert's paperwork and made a recommendation to Talbert, to which he agreed. Black tells Wood to execute the trade. Wood has not seen the final paperwork, but from what he knows, the trade is congruent with Talbert's situation. Wood also knows the recommendation is generally a sound one.

Black is on the board of directors for ATX Corporation. She was asked to write a research report for ATX Corporation. Because of her relationship with ATX, she assigned Wood to write the report instead. Black is Wood's supervisor and requires Wood to show all of his work to her for final approval. As Wood begins writing the report, he remembers that the trust fund of his children, left to them by the parents of Wood's wife, has a sizable investment in ATX.

Black manages a pension fund for Evergreen International. The management of Evergreen International has just requested that Black increase the portion in international equity funds to 30% of total assets from its current position of 10% of total assets. The management of Evergreen International believes the potential for growth in international markets is much greater than the domestic market and would like to see the pension fund managed more aggressively. Wood watches as Black immediately acts upon the recommendation of Evergreen International. Black allocates some of the fund's assets to a few stocks in foreign countries. One of the stocks immediately goes up in price and volatility, and Black sees an opportunity to earn some extra income by selling a covered call on that particular stock. She sells the call on behalf of the pension fund. Wood asks Black if the pension fund's charter allows derivative strategies. Black says she does not know, but says she only sells covered calls when she sees a really good opportunity—and none of her clients have ever complained, even when they have specified that no options will be used. "Covered calls can

never cost a client anything, and they always earn income for the client," Black points out to Wood.

Despite his close relationship with Black, Wood has been preparing to start his own money management firm. He has turned a spare bedroom in his house into an office with new furniture and computer. He has the room wired with the latest internet service upgrades. He has subscribed to financial news services and opened a trading account in the name of his proposed company. He has told an old friend about his plans. His friend has a large portfolio being managed at another brokerage firm. The friend had met Black, and he told Wood that he did not like her and could not let them handle his portfolio, despite their friendship. If Wood was on his own, however, the friend had told Wood that he would want Wood to manage his portfolio. Wood also contacts a cousin, who recently inherited a large portfolio. The cousin says that he would like to get some help managing the portfolio as soon as possible. Wood instructs the cousin to use futures contracts to, in effect, hedge the value of the portfolio cost free until Wood sets up his business, and Wood can then take his cousin on as a client. He sends each of them a copy of his resume, where, in his credentials, he places after his name "CFA (expected 200X)".

Question #16 - 21 of 22

Question ID: 1675640

With respect to Black's instruction to execute the trade for Talbert, according to the Standards, Wood should:

A) execute the trade immediately.

B) execute the trade only after consulting the firm's legal counsel.

C) not execute the trade because he has not met Talbert himself.

Question #17 - 21 of 22

Question ID: 1675641

With respect to the report on ATX Corporation that Black asked Wood to write, which of the following must Wood include in the report?

A) Black is on the board of ATX and the position of ATX in the trust fund of Wood's children only.

B) Wood does not have the CFA designation and that Black is on the board of ATX.

C) Wood does not have the CFA designation and the position of ATX in the trust fund of Wood's children.

Question #18 - 21 of 22

Question ID: 1675642

With respect to the pension fund for Evergreen International, Black's fiduciary duty is:

A) to the participants, beneficiaries, and management of Evergreen International. Therefore, Black should increase the portion in international equities as long as it is within policy statement guidelines.

B) owed to the participants and beneficiaries of Evergreen International. Therefore, Black should continue to manage the fund in their best interest, regardless of the management's request.

C) primarily to the management and stockholders of Evergreen International. Black should follow management's direction to potentially increase the value of the company.

Question #19 - 21 of 22

Question ID: 1675643

With respect to the pension fund for Evergreen International, after Wood notices Black's actions concerning the management's instructions, he should:

A) try to distance himself from Black’s activities.

B) report Black’s activities to the police.

C) do nothing because he knows what Black said about the covered call properties, and her record is true.

Question #20 - 21 of 22

Question ID: 1675644

With respect to Wood preparing to set up his own business, Wood violated the Standards:

A) in his communication with his friend.

B) by setting up trading accounts in the name of his company.

C) in his communication with his cousin.

Question #21 - 21 of 22

Question ID: 1675645

Violations with respect to the use of the CFA designation occurred with:

A) the letters sent by Wood to his friend and cousin, but not with the printing of the business cards by Black.

B) both the printing of the business cards by Black and the letters sent by Wood to his friend and cousin.

C) the printing of the business cards by Black, but not the letters sent by Wood to his friend and cousin.

Question #22 of 22

Question ID: 1675646

Tony Calaveccio, CFA, is the manager of the TrustCo small-cap venture fund in Toronto. He places trades for the fund with Canadian Brokerage. Canadian provides Calaveccio with soft dollars to purchase research. He uses these soft dollars to get research reports from Canadian Brokerage's research department regarding the issues currently held in the small-cap portfolio, and for firms that he is contemplating adding to the portfolio. By using soft dollars in this manner, Calaveccio has:

A) not violated the Code and Standards.

B) violated the Code and Standards by acquiring research on issues contemplated for purchase, but not by acquiring research on currently held issues.

C) violated the Code and Standards by acquiring research on issues that the fund already holds, but not by acquiring research on issues contemplated for purchase.